

Senate File 608

H-1296

1 Amend Senate File 608, as amended, passed, and reprinted by
2 the Senate, as follows:

3 1. By striking everything after the enacting clause and
4 inserting:

5 <Section 1. Section 203.1, subsection 3, Code 2025, is
6 amended to read as follows:

7 3. "*Credit-sale contract*" means a ~~contract for the sale of~~
8 ~~grain pursuant to which the sale price is to be paid more than~~
9 ~~thirty days after the delivery of the grain to the buyer, or a~~
10 ~~contract which is titled as a credit-sale contract, including~~
11 ~~but not limited to those contracts commonly referred to as~~
12 ~~deferred-payment contracts, contract or a deferred-pricing~~
13 ~~contracts, and price-later contracts contract.~~

14 Sec. 2. Section 203.1, Code 2025, is amended by adding the
15 following new subsections:

16 NEW SUBSECTION. 4A. "*Deferred-payment contract*" means a
17 contract pursuant to which the purchase price for grain is
18 agreed to by a seller and licensed grain dealer, if payment
19 will occur more than thirty days from the date of delivery, as
20 defined in section 203.8, subsection 2, paragraph "a".

21 NEW SUBSECTION. 4B. "*Deferred-pricing contract*" means a
22 contract by a seller and licensed grain dealer if delivery,
23 as defined in section 203.8, subsection 2, paragraph "a", has
24 occurred but the purchase price has not been agreed to by the
25 seller and licensed grain dealer.

26 Sec. 3. Section 203.3, subsection 4, paragraph b, Code 2025,
27 is amended to read as follows:

28 b. The grain dealer shall submit, as required by the
29 department, a financial statement that is accompanied by
30 an unqualified opinion based upon an audit performed by a
31 certified public accountant licensed in this state. ~~However,~~
32 ~~the department may accept a qualification in an opinion that~~
33 ~~is unavoidable by any audit procedure that is permitted under~~
34 ~~generally accepted accounting principles. An opinion that~~
35 ~~is qualified because of a limited audit procedure or because~~

1 ~~the scope of an audit is limited shall not be accepted by~~
2 ~~the department.~~ The department shall not require that a
3 grain dealer submit more than one such unqualified opinion
4 per year. ~~The grain dealer, except as provided in section~~
5 ~~203.15, may elect to submit a financial statement that is~~
6 ~~accompanied by the report of a certified public accountant~~
7 ~~licensed in this state that is based upon a review performed~~
8 ~~by the certified public accountant in lieu of the audited~~
9 ~~financial statement specified in this paragraph. However, at~~
10 ~~any time the department may require a financial statement that~~
11 ~~is accompanied by the report of a certified public accountant~~
12 ~~licensed in this state that is based upon a review performed~~
13 ~~by a certified public accountant if the department has good~~
14 ~~cause.~~ A grain dealer shall submit financial statements to
15 the department in addition to ~~those~~ the financial statement
16 accompanied by an unqualified opinion as required in this
17 paragraph if the department determines that it is necessary to
18 verify the grain dealer's financial status or compliance with
19 this subsection section.

20 Sec. 4. Section 203.3, subsection 5, paragraph b, Code 2025,
21 is amended to read as follows:

22 *b.* The grain dealer shall submit, as required by the
23 department, a financial statement that is accompanied by
24 an unqualified opinion based upon an audit performed by a
25 certified public accountant licensed in this state. ~~However,~~
26 ~~the department may accept a qualification in an opinion that~~
27 ~~is unavoidable by any audit procedure that is permitted under~~
28 ~~generally accepted accounting principles. An opinion that~~
29 ~~is qualified because of a limited audit procedure or because~~
30 ~~the scope of an audit is limited shall not be accepted by the~~
31 ~~department.~~ The department shall not require that a grain
32 dealer submit more than one such unqualified opinion per year.
33 ~~The grain dealer may elect, however, to submit a financial~~
34 ~~statement that is accompanied by the report of a certified~~
35 ~~public accountant licensed in this state that is based upon~~

1 ~~a review performed by the certified public accountant in~~
2 ~~lieu of the audited financial statement specified in this~~
3 ~~paragraph. However, at any time the department may require~~
4 ~~a financial statement that is accompanied by the report of a~~
5 ~~certified public accountant licensed in this state that is~~
6 ~~based upon a review performed by a certified public accountant~~
7 ~~if the department has good cause. A grain dealer shall submit~~
8 ~~financial statements to the department in addition to those~~
9 the financial statement accompanied by an unqualified opinion
10 required in this paragraph if the department determines that it
11 is necessary to verify the grain dealer's financial status or
12 compliance with this section.

13 Sec. 5. Section 203.8, subsection 1, Code 2025, is amended
14 to read as follows:

15 1. a. A grain dealer licensed or required to be licensed
16 pursuant to [section 203.3](#) shall pay the purchase price to the
17 seller for grain upon as follows:

18 (1) Upon delivery or later upon demand by the seller,
19 but. If the seller does not make a demand, the grain dealer
20 shall pay the purchase price not later than thirty days after
21 delivery by the seller unless in last date for scheduled
22 payments made by the licensed grain dealer to sellers for
23 delivered grain according to the grain dealer's standard
24 business operation as provided by rules adopted by the
25 department.

26 (2) In accordance with the terms of a credit-sale
27 contract that satisfies the requirements of [this chapter](#).
28 ~~The department shall adopt rules for payment by check and~~
29 ~~electronic funds transfer.~~

30 b. A grain dealer licensed or required to be licensed
31 pursuant to [section 203.3](#) shall not hold a check for the
32 purchase of grain more than five days after the grain dealer
33 issues a check to the seller. After that date, the grain
34 dealer shall deliver the check in person or by mail to the
35 seller's last known address. The department shall adopt rules

1 pursuant to chapter 17A for a grain dealer's payment by check
2 and electronic funds transfer.

3 Sec. 6. Section 203.15, unnumbered paragraph 1, Code 2025,
4 is amended to read as follows:

5 A grain dealer shall not purchase grain by a credit-sale
6 contract except as provided in this section.

7 Sec. 7. Section 203.15, subsections 1, 3, 4, and 6, Code
8 2025, are amended to read as follows:

9 1. The grain dealer shall be licensed pursuant to section
10 203.3. All of the following ~~shall~~ apply to a grain dealer
11 required to be licensed under that section who purchases grain
12 by credit-sale contract:

13 a. The meaning of "credit-sale contract", including
14 "deferred-payment contract" or "deferred-pricing contract", as
15 those terms are defined in section 203.1, shall supersede the
16 meaning of those terms in a contract entered into by a seller
17 and a licensed grain dealer.

18 ~~a.~~ b. The grain dealer shall ~~give~~ provide written notice to
19 the department prior to engaging in the purchase of grain by
20 credit-sale contract. The written notice ~~shall~~ must contain
21 all of the following:

22 (1) A statement that the grain dealer is engaging in
23 the purchase of grain by deferred-pricing contract or
24 deferred-payment contract or both.

25 (2) Any other information required by the department.

26 ~~b.~~ c. ~~All~~ The grain dealer shall maintain credit-sale
27 contract forms in the possession of the grain dealer ~~shall~~.
28 The department may require the credit-sale contract forms to
29 distinguish between the purchase of grain by deferred-pricing
30 contract or deferred-payment contract. The credit-sale
31 contract forms must have been permanently and consecutively
32 numbered at the time of printing of the forms. The grain
33 dealer shall maintain an accurate record of all credit-sale
34 contract forms and numbers obtained by that grain dealer. The
35 record ~~shall~~ must include the disposition of each numbered

1 form, whether by execution, destruction, or otherwise.

2 ~~c.~~ d. The grain dealer who purchases grain by credit-sale
3 contract shall maintain records as required by the department
4 in compliance with this section. The department may require
5 the grain dealer to account separately for deferred-pricing
6 contracts and deferred-payment contracts.

7 3. a. ~~Title to all grain sold~~ If a grain dealer purchases
8 grain by a credit-sale contract, is in the purchasing grain
9 ~~dealer as of the time the contract is executed, unless the~~
10 ~~contract provides otherwise~~ transferred title to the grain
11 upon the grain's delivery to the grain dealer. As used in
12 this paragraph, "delivery" means the same as defined in section
13 203.8.

14 b. The contract must be signed and dated by both parties
15 and executed in duplicate. One copy shall be retained by the
16 grain dealer and one copy shall be delivered to the seller.
17 Upon the cessation of the grain dealer's license ~~by revocation,~~
18 ~~cancellation, or expiration~~ as provided in section 203.10, the
19 payment date for all credit-sale contracts shall be advanced to
20 a date not later than thirty days after the effective date of
21 the cessation, and the purchase price for all unpriced grain
22 shall be determined as of the effective date of the cessation
23 in accordance with all other provisions of the contract.
24 However, if the business of the grain dealer is sold to another
25 licensed grain dealer, credit-sale contracts may be assigned to
26 the purchaser of the business.

27 4. ~~a.~~ A grain dealer shall not purchase grain ~~on~~ by
28 credit-sale contract ~~during~~ if ~~any time period in which~~ of the
29 following apply:

30 a. The grain dealer fails at any time to maintain fifty
31 cents of net worth for each outstanding bushel of grain
32 purchased under credit by credit-sale contract. The However,
33 the grain dealer may maintain a deficiency bond or an
34 irrevocable letter of credit in the amount of two thousand
35 dollars for each one thousand dollars or fraction thereof of

1 deficiency in net worth.

2 ~~b. A~~ The grain dealer who is also a warehouse operator
3 licensed by the department of agriculture and land stewardship
4 under chapter 203C or the United States department of
5 agriculture under the United States Warehouse Act, and ~~who~~
6 ~~does not~~ the warehouse operator fails to have a sufficient
7 quantity or quality of grain to satisfy the warehouse
8 operator's obligations based on an examination by the
9 department of agriculture and land stewardship or the United
10 States department of agriculture ~~shall not purchase grain on~~
11 ~~credit-sale contract to correct the shortage of grain.~~

12 ~~c. (1) A~~ The grain dealer must meet at least either of the
13 following conditions:

14 ~~(a) The~~ fails to submit to the department the grain
15 dealer's last financial statement required to be submitted
16 to the department pursuant to section 203.3 is accompanied
17 by an unqualified opinion based upon an audit performed by a
18 certified public accountant licensed in this state as required
19 pursuant to section 203.3.

20 ~~(b) The grain dealer files a bond with the department in~~
21 ~~the amount of one hundred thousand dollars payable to the~~
22 ~~department.~~

23 ~~(2) (a) The bond filed with the department under this~~
24 ~~paragraph shall be used to indemnify sellers for losses~~
25 ~~resulting from a breach of a credit-sale contract as provided~~
26 ~~by rules adopted by the department. The rules shall include~~
27 ~~but are not limited to procedures and criteria for providing~~
28 ~~notice, filing claims, valuing losses, and paying claims. The~~
29 ~~bond provided in this paragraph shall be in addition to any~~
30 ~~other bond required in this chapter.~~

31 ~~(b) The bond shall not be canceled by the issuer on less~~
32 ~~than ninety days' notice by certified mail to the department~~
33 ~~and the principal. However, if an adequate replacement bond~~
34 ~~is filed with the department, the department may authorize~~
35 ~~the cancellation of the original bond before the end of the~~

1 ~~ninety-day period.~~

2 ~~(c) If an adequate replacement bond is not received by the~~
3 ~~department within sixty days of the issuance of the notice of~~
4 ~~cancellation, the department shall suspend the grain dealer's~~
5 ~~license. The department shall cause an inspection of the~~
6 ~~licensed grain dealer immediately at the end of the sixty-day~~
7 ~~period. If a replacement bond is not filed within another~~
8 ~~thirty days following the suspension, the department shall~~
9 ~~revoke the grain dealer's license.~~

10 ~~(3) When a license is revoked, the department shall provide~~
11 ~~notice of the revocation by ordinary mail to the last known~~
12 ~~address of each holder of an outstanding credit-sale contract~~
13 ~~and all known sellers.~~

14 6. a. A grain dealer who purchases grain by credit-sale
15 contract shall obtain from the seller a signed acknowledgment
16 stating that the seller has received a written notice that
17 ~~grain purchased by credit-sale contract is not protected by the~~
18 ~~grain depositors and sellers indemnity fund~~ explaining all of
19 the following:

20 (1) Ordinarily, a person who sells grain to a licensed grain
21 dealer may file a claim with the Iowa grain indemnity fund
22 board for a loss or losses caused by the licensed grain dealer.

23 (2) For a grain transaction, other than by credit-sale
24 contract, the seller may file a claim for indemnification of
25 ninety percent of a loss.

26 (3) (a) For a credit-sale contract classified as a
27 deferred-pricing contract, the seller may file a claim for
28 indemnification of seventy-five percent of a loss.

29 (b) The indemnification limit for all losses is not more
30 than four hundred thousand dollars but may be decreased to
31 three hundred thousand dollars depending upon the extent to
32 which the seller's loss arose from a deferred-pricing contract.

33 (c) For a credit-sale contract classified as a
34 deferred-payment contract, a seller is not eligible to claim a
35 loss for indemnification.

1 b. The form for the acknowledgment shall be prescribed by
2 the department,~~and the.~~

3 c. The licensed grain dealer and the seller shall each be
4 provided a copy of the acknowledged form.

5 Sec. 8. Section 203C.6, subsection 4, paragraph b, Code
6 2025, is amended to read as follows:

7 b. The warehouse operator shall submit, as required by
8 the department, a financial statement that is accompanied by
9 an unqualified opinion based upon an audit performed by a
10 certified public accountant licensed in this state. ~~However,~~
11 ~~the department may accept a qualification in an opinion that~~
12 ~~is unavoidable by any audit procedure that is permitted under~~
13 ~~generally accepted accounting principles. An opinion that~~
14 ~~is qualified because of a limited audit procedure or because~~
15 ~~the scope of an audit is limited shall not be accepted by the~~
16 ~~department.~~ The department shall not require that a warehouse
17 operator submit more than one such unqualified opinion per
18 year. ~~The warehouse operator may elect, however, to submit~~
19 ~~a financial statement that is accompanied by the report of~~
20 ~~a certified public accountant licensed in this state that~~
21 ~~is based upon a review performed by the certified public~~
22 ~~accountant in lieu of the audited financial statement specified~~
23 ~~in this paragraph. However, at any time the department may~~
24 ~~require a financial statement that is accompanied by the report~~
25 ~~of a certified public accountant licensed in this state that is~~
26 ~~based upon a review performed by a certified public accountant~~
27 ~~if the department has good cause.~~ A warehouse operator shall
28 submit financial statements to the department in addition to
29 these the financial statement accompanied by an unqualified
30 opinion as required in this paragraph if the department
31 determines that it is necessary to verify the warehouse
32 operator's financial status or compliance with this subsection
33 section.

34 Sec. 9. Section 203C.6, subsection 5, paragraph b, Code
35 2025, is amended to read as follows:

1 b. The warehouse operator shall submit, as required by
2 the department, a financial statement that is accompanied by
3 an unqualified opinion based upon an audit performed by a
4 certified public accountant licensed in this state. ~~However,~~
5 ~~the department may accept a qualification in an opinion that~~
6 ~~is unavoidable by any audit procedure that is permitted under~~
7 ~~generally accepted accounting principles. An opinion that~~
8 ~~is qualified because of a limited audit procedure or because~~
9 ~~the scope of an audit is limited shall not be accepted by the~~
10 department. The department shall not require that a warehouse
11 operator submit more than one such unqualified opinion per
12 year. ~~The warehouse operator may elect, however, to submit~~
13 ~~a financial statement that is accompanied by the report of~~
14 ~~a certified public accountant licensed in this state that~~
15 ~~is based upon a review performed by the certified public~~
16 ~~accountant in lieu of the audited financial statement specified~~
17 ~~in this paragraph. However, at any time the department may~~
18 ~~require a financial statement that is accompanied by the report~~
19 ~~of a certified public accountant licensed in this state that is~~
20 ~~based upon a review performed by a certified public accountant~~
21 ~~if the department has good cause. A warehouse operator shall~~
22 submit financial statements to the department in addition to
23 those the financial statement accompanied by an unqualified
24 opinion as required in this paragraph if the department
25 determines that it is necessary to verify the warehouse
26 operator's financial status or compliance with this subsection
27 section.

28 Sec. 10. Section 203D.1, Code 2025, is amended by adding the
29 following new subsections:

30 NEW SUBSECTION. 2A. "*Deferred-payment contract*" means the
31 same as defined in section 203.1.

32 NEW SUBSECTION. 2B. "*Deferred-pricing contract*" means the
33 same as defined in section 203.1.

34 NEW SUBSECTION. 8A. "*Indemnity fees*" or "*fees*" means a
35 participation fee and per-bushel fee as provided in sections

1 203D.3 and 203D.3A.

2 NEW SUBSECTION. 14A. "*Repayment loss*" means the part of
3 a repayment claim filed with the department by a seller that
4 includes the dollar value loss incurred by the seller resulting
5 from the seller receiving an amount from the sale of grain to a
6 purchasing grain dealer that the seller has paid back to the
7 grain dealer's bankruptcy estate subject to the requirements
8 and limitations in sections 203D.6 and 203D.6A.

9 Sec. 11. Section 203D.1, subsections 14 and 16, Code 2025,
10 are amended to read as follows:

11 14. *a.* "*Purchased grain*" means grain any of the following:

12 (1) Grain entered in the company-owned paid position as
13 evidenced on the grain dealer's daily position record.

14 (2) Grain purchased by deferred-pricing contract.

15 *b.* "*Purchased grain*" does not include grain that is subject
16 to an exempt transaction based on documentation satisfactory
17 to the department showing that the grain dealer did any of the
18 following:

19 (1) Purchased the grain from the United States government or
20 any of its subdivisions or agencies.

21 (2) Purchased the grain from a person licensed as a grain
22 dealer in any jurisdiction.

23 (3) Purchased the grain ~~under a credit sale~~ by
24 deferred-payment contract.

25 (4) Entered the grain in the company-owned paid position as
26 a cancellation of a collateral warehouse receipt.

27 (5) Entered the grain in the company-owned paid position as
28 an intra-company location transfer.

29 16. *a.* "*Seller*" means a person who sells grain ~~which, that~~
30 the person has produced or caused to be produced, to a licensed
31 ~~grain dealer, but excludes a person who executes a credit sale~~
32 ~~contract as a seller as provided in~~ section 203.15. However,
33 ~~"seller"~~

34 *b.* "*Seller*" does not include any of the following:

35 ~~a.~~ (1) A person licensed as a grain dealer in any

1 jurisdiction who sells grain to a licensed grain dealer.

2 ~~b.~~ (2) A person who sells grain that is not produced in
3 this state unless such grain is delivered to a licensed grain
4 dealer at a location in this state as the first point of sale.

5 (3) A person who sells grain by deferred-payment contract.

6 Sec. 12. Section 203D.3, subsections 1 and 4, Code 2025, are
7 amended to read as follows:

8 1. The grain depositors and sellers indemnity fund is
9 created in the state treasury as a separate account. The
10 general fund of the state is not liable for claims presented
11 against the fund under ~~section~~ sections 203D.6 and 203D.6A.

12 4. The moneys collected under this section and deposited
13 in the fund shall be ~~used~~ expended by the board exclusively to
14 ~~indemnify~~ do all of the following:

15 a. Indemnify depositors and sellers who have submitted
16 eligible claims to the department as provided in ~~section~~
17 sections 203D.6 and ~~to pay the administrative costs of this~~
18 ~~chapter~~ 203D.6A.

19 b. Pay the department, the board, or the office of attorney
20 general for actual and necessary costs incurred by any of the
21 following:

22 (1) The department for acting as receiver if appointed by a
23 court pursuant to section 203.12B or 203C.3.

24 (2) (a) The office of attorney general for representing
25 the department, the board, or the office in a legal or
26 administrative proceeding involving moneys required to be
27 deposited or expended from the fund.

28 (b) Outside counsel for representing the department,
29 the board, or the office of attorney general in a legal or
30 administrative proceeding involving moneys required to be
31 deposited or expended from the fund.

32 Sec. 13. Section 203D.3A, unnumbered paragraph 1, Code
33 2025, is amended to read as follows:

34 The department shall collect indemnity fees, including
35 participation fees and per-bushel fees as provided in this

1 section, if ~~established~~ imposed by the board pursuant to
2 section 203D.5, at rates determined by the board as provided
3 in that section. A ~~person required to pay a fee shall use~~
4 licensee shall remit indemnity fees and forms and deliver the
5 payment to the department as required by the department.

6 Sec. 14. Section 203D.3A, subsection 1, paragraph a,
7 subparagraph (1), Code 2025, is amended to read as follows:

8 (1) In calculating the amount of the initial participation
9 fee, an applicant for a new license shall be deemed a licensee
10 paying the full annual amount of the participation fee owing on
11 the licensee's first anniversary date ~~as provided in paragraph~~
12 ~~"b"~~. The department must be satisfied that the applicant is
13 calculating the amount due in good faith and using the best
14 information available.

15 (a) For a licensed grain dealer, the anniversary date is
16 the last date to apply for the renewal of the grain dealer's
17 license before the license expires as provided in section
18 203.5.

19 (b) For a licensed warehouse operator, the anniversary date
20 is the last date to apply for the renewal of the warehouse
21 operator's license before the license expires as provided in
22 section 203C.37.

23 Sec. 15. Section 203D.3A, subsection 1, paragraph b, Code
24 2025, is amended to read as follows:

25 b. A licensee shall pay remit a participation fee in one
26 installment as part of a license renewal application in the
27 same manner provided in paragraph "a". However, the licensee
28 may elect to remit the participation fee on four successive
29 installment dates, with each installment date occurring ~~on~~ in
30 the month succeeding the last date of the fund's assessment
31 quarter as provided in section 203D.3, on a date determined by
32 rules adopted by the department. The licensee shall pay remit
33 twenty-five percent of the total participation fee assessed on
34 each installment date. ~~However, nothing in this subsection~~
35 ~~prevents a licensee from paying the participation fee on an~~

1 ~~accelerated basis. A licensee shall pay the first installment~~
2 ~~on the last date of the fund's assessment quarter immediately~~
3 ~~following the licensee's anniversary date.~~

4 ~~(1) For a licensed grain dealer, the anniversary date is~~
5 ~~the last date to apply for the renewal of the grain dealer's~~
6 ~~license before the license expires as provided in section~~
7 ~~203.5.~~

8 ~~(2) For a licensed warehouse operator, the anniversary date~~
9 ~~is the last date to apply for the renewal of the warehouse~~
10 ~~operator's license before the license expires as provided in~~
11 ~~section 203C.37.~~

12 Sec. 16. Section 203D.3A, subsection 2, Code 2025, is
13 amended to read as follows:

14 2. *a.* A licensed grain dealer shall remit a per-bushel fee
15 ~~shall be assessed~~ on all purchased grain.

16 *b.* The licensed grain dealer shall forward remit the
17 per-bushel fee to the department on a quarterly basis in the
18 manner and using the forms a form prescribed by the department.
19 The licensed grain dealer shall remit the per-bushel fee
20 and form on four successive installment dates, with each
21 installment date occurring in the month succeeding the last
22 assessment quarter as provided in section 203D.3, on December
23 15, March 15, June 15, and September 15.

24 *c.* A licensee licensed grain dealer is delinquent if the
25 licensee grain dealer fails to submit remit the full quarterly
26 per-bushel fee or quarterly forms and form when due or if,
27 upon examination, an underpayment of the fee is found by the
28 department. The licensed grain dealer is subject to a penalty
29 of ten dollars for each day the licensed grain dealer is
30 delinquent or an amount equal to the amount of the deficiency,
31 whichever is less. However, a licensee licensed grain dealer
32 who fails to submit remit the full quarterly per-bushel fee or
33 quarterly forms form when due, is subject to a minimum payment
34 of ten dollars. The department may establish and apply a
35 margin of error in determining whether a licensed grain dealer

1 is delinquent. ~~The per-bushel fee shall be collected only once~~
2 ~~on each bushel of grain.~~

3 ~~c.~~ d. The per-bushel fee shall not be collected more
4 than once on each bushel of grain. A licensed grain dealer
5 may ~~choose to~~ pass on the cost of a per-bushel fee to the
6 sellers by an itemized discount noted on the settlement sheet.
7 However, if the per-bushel fee is not in effect, ~~no~~ a licensed
8 grain dealer shall not make such a discount on the purchase of
9 grain. A discount made nominally for the per-bushel fee while
10 the per-bushel fee is not in effect is grounds for a license
11 suspension or revocation under chapter 203.

12 Sec. 17. Section 203D.5, subsection 1, unnumbered paragraph
13 1, Code 2025, is amended to read as follows:

14 The board shall annually review the debits of and credits
15 to the grain depositors and sellers indemnity fund created
16 in section 203D.3 and shall determine whether to impose the
17 ~~participation fee and per-bushel fee~~ indemnity fees as provided
18 in section 203D.3A, make adjustments to the indemnity fees
19 effective on the previous September 1, or waive the indemnity
20 fees as necessary to comply with this section. The board shall
21 make the determination not later than May 1 of each year. The
22 board shall impose the indemnity fees or adjust the indemnity
23 fees effective on the previous September 1 in accordance with
24 chapter 17A. The imposition or adjustment of the indemnity
25 fees shall become effective as follows:

26 Sec. 18. Section 203D.5, subsections 4 and 5, Code 2025, are
27 amended to read as follows:

28 4. If on the last date of the fund's assessment year as
29 provided in section 203D.3 the assets of the fund exceed ~~eight~~
30 sixteen million dollars, less any encumbered balances or
31 pending or unsettled claims, all of the following apply:

32 a. The participation fee as provided in section 203D.3A
33 shall be waived and shall not be assessable or owing for the
34 following assessment year of the fund. However, the licensee
35 shall continue to ~~pay~~ remit any owing participation fee that

1 was in effect on the prior September 1.

2 **b.** The per-bushel fee as provided in section 203D.3A
3 shall be waived and shall not be assessable or owing for the
4 following assessment year. The waiver shall also apply to
5 purchased grain that is unpriced on the last date of the fund's
6 assessment year. However, the licensed grain dealer shall
7 remit any per-bushel fee that is owing on that date.

8 5. The board shall reinstate the indemnity fees as
9 provided in this section if the assets of the fund, less any
10 unencumbered balances or pending or unsettled claims, are ~~three~~
11 eight million dollars or less.

12 Sec. 19. Section 203D.6, subsection 1, Code 2025, is amended
13 to read as follows:

14 1. ~~*a. Persons*~~ Person who may file ~~claims~~ a claim. A
15 depositor or seller may file a claim with the department for
16 the indemnification of a ~~loss~~ dollar value losses from the
17 grain depositors and sellers indemnity fund. A claim shall
18 be filed by a depositor or seller in the manner prescribed by
19 rules adopted by the ~~board~~ department.

20 **b.** The department may identify each claim and associated
21 claimant by a unique number which may be a federal tax
22 identification number.

23 Sec. 20. Section 203D.6, subsections 4, 5, 6, 8, and 9, Code
24 2025, are amended to read as follows:

25 4. ~~*Determination of eligible claims*~~ claim. The board shall
26 determine a claim to be eligible for ~~payment~~ indemnification
27 from the fund if the board finds all of the following:

28 **a.** That the claim was timely filed.

29 **b.** That the incurrence date was on or after May 15, 1986.

30 **c.** That the claimant qualifies as a depositor or seller.

31 **d.** (1) That the claim derives from a covered transaction.
32 For purposes of this paragraph, a claim derives from a covered
33 transaction if the claimant ~~is a~~ incurred a dollar value loss
34 as any of the following:

35 (a) A depositor who delivered the grain to a licensed

1 warehouse operator.

2 (b) (i) A seller who transferred title to the grain to
3 a licensed grain dealer ~~other than by credit-sale contract~~
4 within six months of the incurrence date for a claim period as
5 provided in ~~subsection 2,~~ or if the claimant is a depositor who
6 delivered the grain to a licensed warehouse operator.

7 (ii) A seller described in subparagraph subdivision (i) who
8 incurred a repayment loss against a grain dealer as provided
9 in section 203D.6A.

10 (2) The dollar value losses incurred by a depositor
11 or seller described in subparagraph (1) for all eligible
12 claims are subject to the indemnification limit described in
13 subsection 8.

14 (a) The department shall segregate that part of a claim
15 that includes a dollar value loss incurred by a seller
16 who sold grain to a licensed grain dealer pursuant to a
17 credit-sale contract, including by deferred-pricing contract
18 and deferred-payment contract.

19 (b) The part of the segregated claim that includes a
20 dollar value loss incurred by a seller who sold grain to a
21 licensed grain dealer pursuant to a deferred-payment contract
22 is ineligible for indemnification.

23 e. That there is adequate documentation to establish the
24 existence of a claim and to determine the amount of the loss.

25 f. A claim has not been paid for the same loss.

26 5. ~~Value of~~ Dollar value loss — ~~warehouse claims~~ depositor.

27 a. (1) The board shall determine the ~~an~~ eligible claim's
28 dollar value ~~of a claim~~ loss incurred by a depositor holding
29 a warehouse receipt or a scale weight ticket for grain that
30 the depositor delivered for storage to the licensed warehouse
31 operator.

32 (a) If the department has been appointed by the court as
33 receiver of the grain assets of the warehouse operator, the
34 dollar value loss shall be presumed to be as stated in the plan
35 of disposition approved by the court.

1 **(b)** If the warehouse operator has filed a petition in
2 bankruptcy, the dollar value loss shall be presumed to be based
3 upon the fair market price, free-on-board from the site of the
4 warehouse operator, being paid to producers for grain by the
5 grain terminal operator nearest the warehouse operator on the
6 date the petition was filed.

7 **(c)** If there is neither a department receivership nor a
8 bankruptcy filing, the dollar value loss shall be presumed to
9 be based upon the fair market price, free-on-board from the
10 site of the warehouse operator, being paid to producers for
11 grain by the grain terminal operator nearest the warehouse
12 operator on the incurrence date of license revocation or
13 cancellation. If more than one incurrence date applies to a
14 claim, the board may choose between the two. ~~However, the~~

15 **(d)** ~~The board may accept an alternative valuation of a claim~~
16 dollar value loss upon a showing of just cause by the depositor
17 or department. ~~All depositors~~

18 **(2)** The dollar value loss of priced or unpriced grain
19 shall not exceed the price of that grain if the grain were
20 U.S. No. 2 grain according to standards adopted by the federal
21 grain inspection service of the United States department of
22 agriculture. The price of the grain shall be determined in
23 accordance with the relevant date used to determine the price
24 described in subparagraph (1). The department may adjust the
25 price of the grain if necessary to better account for the
26 condition of the grain when stored.

27 **b.** A depositor filing claims a claim for a dollar value
28 loss under this section subsection shall be bound by the dollar
29 value loss determined by the board. The dollar value ~~of the~~
30 loss is the outstanding balance on the validated claim at time
31 ~~of payment~~ the claimant is indemnified from the fund.

32 **6. Value of Dollar value loss — grain-dealer claims seller.**

33 **a. (1)** ~~The dollar value of a claim~~ The board shall
34 determine an eligible claim's dollar value loss incurred by
35 a seller who has sold grain or delivered grain for sale or

1 exchange and who is a creditor of the licensed grain dealer for
2 ~~all or part of the value of the grain shall be~~ based on the
3 amount stated on the obligation on the date of the sale.

4 (a) If the sold grain was unpriced, the dollar value of a
5 ~~claim loss~~ shall be presumed to be based upon the fair market
6 price, free-on-board from the site of the grain dealer, being
7 paid to producers for grain by the grain terminal operator
8 nearest the grain dealer on the incurrence date of the license
9 ~~revocation or cancellation or the filing of a petition in~~
10 ~~bankruptcy~~. If more than one incurrence date applies to a

11 claim, the board may choose between the two. ~~However, the~~

12 (b) The board may accept an alternative ~~valuation of a claim~~
13 dollar value loss upon a showing of just cause by the seller or
14 department. ~~All sellers~~

15 (2) The dollar value loss of priced or unpriced grain
16 shall not exceed the price of that grain if the grain were
17 U.S. No. 2 grain according to standards adopted by the federal
18 grain inspection service of the United States department of
19 agriculture. The price of the grain shall be determined in
20 accordance with the relevant date used to determine the price
21 described in subparagraph (1). The department may adjust the
22 price of the grain if necessary to better account for the
23 condition of the grain when purchased.

24 b. A seller filing ~~claims~~ a claim for a dollar value loss
25 under this section subsection shall be bound by the dollar
26 value loss determined by the board. The dollar value of the
27 loss is the outstanding balance on the validated claim at the
28 time of payment the claimant is indemnified from the fund.

29 8. Payment Indemnification of ~~claims~~ a claimant.

30 a. Upon a determination by the board that the claim is
31 an eligible for payment claim satisfies the requirements in
32 subsection 4, the board shall provide for payment of ninety
33 percent of the loss, as determined under indemnify the claimant
34 as a depositor under subsection 5, but not more than three
35 hundred thousand dollars per claimant and a seller under

1 subsection 6. Upon a determination by the board that an
2 eligible repayment claim filed by that seller under section
3 203D.6A derives from the same covered transaction during the
4 claim period, and the repayment loss incurred for that claim,
5 the board shall indemnify the claimant as a seller subject to
6 the requirements of this section and section 203D.6A.

7 b. Subject to the indemnification limit described in
8 paragraph "c", the board shall indemnify a claimant ninety
9 percent of the combined dollar value losses, including any
10 repayment loss, incurred by the claimant as described in
11 paragraph "a", except for a segregated dollar value loss
12 incurred from the sale of grain by credit-sale contract. The
13 board shall indemnify the seller seventy-five percent of the
14 dollar value loss, including any repayment loss, incurred from
15 the sale of grain by deferred-pricing contract and zero percent
16 of the dollar value loss for the sale of grain, including
17 any repayment loss, by deferred-payment contract. The full
18 indemnity amount paid to a claimant shall be calculated as the
19 sum of the following:

20 (1) Ninety cents for each dollar value loss, including any
21 repayment loss, incurred by the claimant other than a dollar
22 value loss for the sale of grain by credit-sale contract.

23 (2) For the sale of grain by credit-sale contract, all of
24 the following:

25 (a) Seventy-five cents for each dollar value loss,
26 including any repayment loss, incurred by the claimant
27 other than a dollar value loss for the sale of grain by
28 deferred-pricing contract.

29 (b) Zero cents for each dollar value loss incurred by the
30 claimant by deferred-payment contract.

31 c. The board shall not indemnify any claimant for more
32 than four hundred thousand dollars for an eligible claim for
33 all dollar value losses described in paragraphs "a" and "b",
34 including any repayment loss.

35 d. (1) If at any time the board determines that there

1 are insufficient funds moneys in the fund to ~~make payment of~~
2 fully indemnify all eligible claims, the board ~~may~~ shall order
3 that ~~payment be deferred on specified claims. The department,~~
4 ~~upon the board's instruction, shall hold those claims for~~
5 ~~payment until the board determines that the fund again contains~~
6 sufficient assets the eligible claims be indemnified according
7 to the following order:

8 (a) First, by indemnifying all claims for dollar value
9 losses other than segregated dollar value losses arising from
10 the sale of grain by credit-sale contract as provided in
11 subsection 4.

12 (b) Second, by indemnifying all claims for segregated
13 dollar value losses arising from the sale of grain by
14 deferred-pricing contract as provided in subsection 4.

15 (2) The board may establish one or more eligible claim
16 indemnification periods required to fully indemnify all
17 eligible claims. The department shall hold those claims that
18 have not been fully indemnified until a later period or periods
19 for the full indemnification of those claims as moneys in the
20 fund are available.

21 9. *Subrogation of fund.* In the event of ~~payment the~~
22 indemnification of a dollar value loss under this section,
23 the fund is subrogated to the extent of the amount of any
24 payments to all rights, powers, privileges, and remedies of the
25 depositor or seller against any person regarding the dollar
26 value loss. The depositor or seller shall render all necessary
27 assistance to aid the department and the board in securing
28 the rights granted in this section. ~~No~~ An action or claim
29 initiated by a depositor or seller and pending at the time of
30 ~~payment indemnification~~ from the fund shall not be compromised
31 or settled without the consent of the board.

32 Sec. 21. Section 203D.6, subsection 10, paragraph b, Code
33 2025, is amended to read as follows:

34 b. The fund shall not be liable for the ~~payment~~
35 indemnification of an expired claim.

1 Sec. 22. NEW SECTION. 203D.6A Indemnification of repayment
2 loss against fund.

3 1. A separate process is established to provide for the
4 fund's indemnification of a repayment claim that includes a
5 repayment loss incurred by a seller against a grain dealer,
6 if the grain dealer is a debtor in bankruptcy under the
7 protections provided in Tit. 11 of the United States Code.

8 *a.* A repayment claim that includes the repayment loss shall
9 be filed with the department in the manner prescribed by the
10 department.

11 *b.* A seller may file an eligible claim for a dollar value
12 loss under section 203D.6 and an eligible repayment claim for a
13 repayment loss under this section.

14 *c.* The department may reconcile a repayment claim filed
15 under this subsection with a claim filed by the same claimant
16 that is part of the same covered transaction under the claim
17 period as provided in section 203D.6.

18 2. To be timely, a seller must file a repayment claim with
19 the department not later than sixty days after the amount of
20 the seller's loss is finalized by a bankruptcy court, whether
21 by an order issued, judgment entered, or settlement agreement
22 approved.

23 3. The department may provide notice of the repayment claim
24 process to a seller that may become or has become subject to
25 an order issued, judgment entered, or settlement agreement
26 approved by a bankruptcy court in the grain dealer's bankruptcy
27 proceeding that requires the seller to pay back the amount
28 previously received for grain purchased by the grain dealer.
29 If the department chooses to provide a notice to the seller, it
30 shall have discretion to determine any reasonable method and
31 manner of providing such notice. A failure by the department
32 to provide a notice or a failure by a seller to receive a
33 notice under this subsection does not relieve the seller of the
34 requirement to timely file a repayment claim.

35 4. The board shall determine that a repayment claim is

1 eligible for indemnification from the fund if the board finds
2 all of the following:

- 3 *a.* The repayment claim was timely filed.
- 4 *b.* The repayment claimant qualifies as a seller.
- 5 *c.* The repayment claim derives from a covered transaction.

6 For purposes of this paragraph, a repayment claim derives
7 from a covered transaction if the claimant is a seller who
8 transferred title to the grain to a licensed grain dealer
9 within six months of the incurrence date as provided in section
10 203D.6, subsection 2.

- 11 *d.* The seller submits adequate proof to establish the
12 repayment claim and the amount of the repayment loss.
- 13 *e.* A claim has not been paid for the same loss.

14 5. A seller is not entitled to indemnify a claim for a
15 repayment loss if the repayment loss is incurred as a result of
16 a fraudulent transfer or conveyance by the seller.

17 6. The dollar value loss of a repayment claim is the amount
18 the seller has paid back to a grain dealer's bankruptcy estate
19 that the seller previously received from the grain dealer's
20 purchase of the grain, if paying back the amount was the result
21 of an order issued, judgment entered, or settlement agreement
22 approved by a bankruptcy court, and which has not been
23 recovered through other legal or equitable remedies including
24 the liquidation of the grain dealer's assets.

25 7. The department acting on behalf of the board shall
26 deliver a notice to a seller filing a repayment claim
27 under this section. The notice must include the board's
28 determination of the seller's eligibility and the dollar
29 value of the seller's repayment loss. Within twenty days of
30 delivering the notice, the seller may request a hearing for the
31 review of either determination. The request shall be made in
32 the manner provided by the board. The hearing and any further
33 appeal shall be conducted as a contested case subject to
34 chapter 17A. A seller whose repayment claim has been refused
35 by the board may appeal the refusal to either the district

1 court of Polk county or the district court of the county in
2 which the seller resides.

3 8. Upon a determination that the repayment claim is
4 eligible for indemnification, the board shall provide for
5 indemnification of the repayment loss, as required in section
6 203D.6. If at any time the board determines that there are
7 insufficient moneys in the fund to fully indemnify all eligible
8 claims under section 203D.6 and all eligible repayment claims
9 under this section, the board shall order that the eligible
10 claims be fully indemnified during one or more indemnification
11 periods as provided in section 203D.6.

12 9. In the event of the indemnification of a repayment loss
13 under this section, the fund is subrogated to the extent of
14 the amount of any payments to all rights, powers, privileges,
15 and remedies of the seller against any person regarding
16 the repayment loss. The seller shall render all necessary
17 assistance to the department and the board in securing the
18 rights granted in this section. An action or claim initiated
19 by a seller and pending at the time of indemnification from the
20 fund shall not be compromised or settled without the consent
21 of the board.

22 10. a. A repayment claim shall expire if five years after
23 the board determines that the repayment claim is eligible, the
24 claimant has failed to do any of the following:

25 (1) Provide for the fund's subrogation or render all
26 necessary assistance to the department and the board in
27 securing the department's rights of subrogation as required in
28 this section.

29 (2) Provide necessary documentation or information required
30 by the board in order to process the indemnification claim.

31 b. The fund is not liable for the indemnification of an
32 expired repayment claim.

33 Sec. 23. EMERGENCY RULES. The department of agriculture
34 and land stewardship shall adopt emergency rules under section
35 17A.4, subsection 3, and section 17A.5, subsection 2, paragraph

1 "b", to implement the provisions of this Act within thirty
2 business days of the effective date of this section of this
3 Act and shall submit such rules to the administrative rules
4 coordinator and the administrative code editor pursuant to
5 section 17A.5, subsection 1, within the same period. The rules
6 shall be effective immediately upon filing unless a later date
7 is specified in the rules. Any rules adopted in accordance
8 with this section shall also be published as a notice of
9 intended action as provided in section 17A.4.

10 Sec. 24. ASSESSMENT OF INDEMNITY FEES. A grain dealer
11 licensed under chapter 203 who is a party to a credit-sale
12 contract shall owe any indemnity fees assessed on grain
13 purchased under the credit-sale contract beginning on the
14 following September 1 of the first assessment quarter pursuant
15 to section 203D.3A.

16 Sec. 25. EFFECTIVE DATE. The following, being deemed of
17 immediate importance, takes effect upon enactment:

18 The section of this Act requiring the department of
19 agriculture and land stewardship to adopt emergency rules.

20 Sec. 26. APPLICABILITY.

21 1. The process established in section 203D.6, as amended
22 by this Act, and section 203D.6A, as enacted by this Act,
23 providing for the indemnification of a repayment claim filed
24 by a seller with the department of agriculture and land
25 stewardship that includes a repayment loss incurred by the
26 seller against a grain dealer applies only if the grain dealer
27 is a debtor in bankruptcy under the protections provided in
28 Tit. 11 of the United States Code on or after October 24, 2022.

29 2. For a repayment loss incurred prior to July 1, 2025, the
30 end of the claim period in section 203D.6A, subsection 2, as
31 enacted by this Act, is August 29, 2025.>